



CHANGED SCENARIO

▶ **Start-ups have launched a frantic search for CFOs. Experts say this can be attributed to the increased focus on profitability, corporate governance, and transparency**

▶ **Stakeholders also believe that while early-stage start-ups might not need a CFO since these executives are expensive, they do need a “financial controller” or an auditor who can ensure that checks and balances are put in place**

▶ **At growth-stage or late-stage start-ups, the primary role of a CFO is to strategise, allocate resources and be responsible for numbers if the start-up is dealing with large volumes or transactions**

few months have taught start-ups many lessons. Let's also not forget that it is either their first or second attempt at running businesses, the experts note.

The “boom and bust months” have compelled these tech-enabled businesses to hit reset, and forced a paradigm shift in their functioning. From growth at all costs, the focus now is on managing finances well and achieving profitability.

RIGHT PERSON AT THE RIGHT TIME

But, at what stage should a company hire a CFO?

“At the pre-seed or seed stage, you may not need a CFO. But if you are raising a big round of funding, say a Series B or C round, then a CFO is advisable,” says Lakshmikant P.B., Director of Finance at Antler, an early-stage investor.

Lakshmikant says a “financial controller” or an auditor at an early-stage start-up will ensure that there are checks and balances. “Hiring a CFO is an expensive endeavour and

it is advisable only at a later stage,” he says.

Sample this: As per estimates by career advisory platform Ambition-box, the average salary of a CFO in India stands at a little over ₹45 lakh per annum. According to estimates, this exceeds the average salary of CEOs and CTOs in the country, which stand at ₹30 lakh and ₹36 lakh respectively.

“When you have excess capital and the pressure is on deployment, then I would say that you must have a CFO on board,” quips Lakshmikant. He also shares an incident where a company paid a heavy price for not managing its finances well. “The company bid for a contract that was beyond its means and it did come back to bite them later. The founders got extremely excited but could not convert that opportunity into tangible business. When that happened, it resulted in massive losses.”

Getting excited and not focusing on judicious deployment of funds is one fatal trap founders are

now trying to avoid. This is where a CFO comes in, by painting a truthful and unbiased picture, experts say.

“In a start-up, the CFO is mandated to take on and exploit opportunities to exceed goals and work towards them. Even under adverse circumstances, he describes the possible risks and benefits for the good of the organisation,” says Rahul Tewari, CFO of online gaming unicorn Games24x7.

Amit Mehra, CFO at Lightspeed Venture Partners, says the role goes beyond financial management. “The CFO's role is to strategise, allocate resources, be responsible for numbers if the start-up is dealing with large volumes or transactions,” he says. **BT**

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